

with any criminal activity, although later, in consequence, it would seem, of an unwise passage through Switzerland, he was detained for some weeks in a Swiss jail. It is difficult to believe that he was guilty of anything beyond his own misguided energy and ambition. The guilt lies, as always, with those who sought so eagerly and by such a transparent device to be so separated from their money.

In these years there were also the enthusiastic reception given the Real Estate Investment Trusts, the REITs, and, as time passed, the self-congratulatory enthusiasm of the large international banks—Citibank, Manufacturers Hanover, Continental Illinois, and others—as they received the sizable deposits of the OPEC oil-producing countries and sent them on in the form of loans to Mexico, Brazil, Argentina, Poland, and other eager recipients. This recycling, as it was called, was considered innovative and imaginative at the time as well as an operation at the highest level of financial respectability. Its legacy, so sadly apparent since, was either default or an oppressive burden of debt for the countries so favored, a burden gravely threatening their living standards and the stability of their governments. Some, perhaps much, of the borrowed money was further recycled, without local benefit, to Switzerland or back to New York. It is not certain that the bankers responsible, protected by that high repute that goes with association with great assets, have ever themselves fully realized their error.

The more limited episodes of the 1960s and 1970s and their unhappy consequences sufficiently established that financial aberration was still the norm. The full revelation remained, however, for the 1980s, leading on to the spectacular debacle of October 19, 1987.

There was, as before, little that was new in this speculative episode. All of the elements were again and predictably in place. As the age of Calvin Coolidge had been hailed, so now the age of Ronald Reagan. Leverage came back in the form of corporate takeovers and leveraged buyouts, small ownership and control made possible by large debt. There was the requisite new financial instrument that was thought to be of stunning novelty: bonds with a high risk and thus carrying a high interest rate. Their novelty, as noted, resided only in their deeply valid name—junk bonds.